

AeroKart Logistics - Energy Procurement Policy Memo (Internal)

Purpose: Establish guardrails for FY2025 electricity procurement and demand management for AeroKart's U.S. fulfillment network.

Scope: Applies to the three fulfillment sites listed in the FY2024 energy profile file (PHX1, DFW2, ATL3).

Clause 1 (Reliability): Any demand response or curtailment program must maintain $\geq 98.5\%$ order cut-off adherence (no missed dispatch windows).

Clause 2 (Savings Threshold): Board requires a clearly quantified run-rate savings case. Onetime costs must be shown separately (not netted into run-rate).

Clause 3 (Risk Cap): Do not accept a procurement strategy that introduces variable pricing for more than 30% of annual kWh unless a hedge instrument is documented.

Clause 4 (Benchmark Discipline): For site-level pricing assumptions, use a single, auditable public benchmark as the reference point.

Footnote A (Exception): For PHX1 only, a short-term variable component up to 45% is allowed through Q3-2025 if the blended delivered price is at least 0.8¢/kWh below the public benchmark.

Footnote B (Conflict): For any site tagged as 'Operationally Critical' (see Appendix), variable exposure must remain $\leq 20\%$ regardless of other clauses.

Clarification: When clauses conflict, apply Footnote B to Operationally Critical sites; apply Footnote A only if the site is not Operationally Critical.

Data integrity note: Rows tagged Notes=='Pilot' are pilots; exclude from FY2024 run-rate baselines and any lever impact calculations.

Appendix: Operational Criticality

Operationally Critical sites: PHX1 (Phoenix, AZ).

Rationale: PHX1 supports peak-season West Coast replenishment and has limited overflow capacity in-network.

Implication: Variable exposure cap is 20% for PHX1, overriding Footnote A.